IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH-II, CHENNAI

CA(CAA)/14/2022

(Filed Under Sections 230 to 232 of the Companies Act, 2013 R/W Rule 3 of The Companies (Compromises, Arrangements And Amalgamations) Rules, 2016)

In the matter of Composite Scheme of Arrangement (Demerger)

Between

SPARK CAPITAL ADVISORS (INDIA) PRIVATE LIMITED,
(CIN: U67190TN1998PTC039818),
Having its registered office at Reflections No 2,
Leith Castle Center Street Santhome High Road,
Santhome Chennai Tamil Nadu 600028 India.

... Applicant No.1 / Demerged Company

And

SPARK INSTITUTIONAL EQUITIES PRIVATE LIMITED.,
(CIN: U65999TN2022PTC149473),
Having its Registered office at Reflections No.2,
Leith Castle Center St Santhome
High Road Santhome Chennai
Tamil Nadu 600028 India.

... Applicant No.2 / Resulting Company

And

Their Respective Shareholders

Order Pronounced on 01st June 2022

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Justice (Retd.) S.RAMATHILAGAM, MEMBER (JUDICIAL)

ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s):Dr.K.S.Ravichandran,PCS and

S.Manjula Devi, Advocate For KSR&CO

ORDER

Per: ANIL KUMAR B, MEMBER (TECHNICAL)

Under Consideration is a joint application filed by the Applicant Companies, viz., SPARK CAPITAL ADVISORS(INDIA) PRIVATE LIMITED, (hereinafter "Demerged Company") and H.M.Textiles Private Limited SPARK INSTITUTIONAL EQUITIES PRIVATE LIMITED, (hereinafter "Resulting Company") (together the "Applicant Companies") under section 230-232 of Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the scheme of arrangement ("Demerger") (herein after referred as "SCHEME") proposed by the Applicant Companies for effecting a demerger of demerged undertaking of the Demerged Company and transferring and vesting the same to Resulting Company. The Said Scheme is also annexed as Annexure A8-Vol II at Pg.No.217-241 of the Application.

2. The Applicant Companies in this Company Application have sought the following reliefs:

For the Demerged Company – Spark Capital Advisors (India) Private Limited

i. To pass an order directing the summoning of separate meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Demerged Company fixing

a date, time, venue, quorum and appointing the Chairman for the respective meetings.

ii. *To pass an order directing the Chairman of the respective meetings to file his / her report with the Tribunal within a specified time from the date of conclusion of the meeting;*

iii. *To issue advertisements on behalf of the Demerged Company in newspapers in English and Tamil with regard to the meeting to be called and held, if any.*

iv. *To permit the Applicant Companies to file a joint Petition for the sanctioning of the Composite Scheme and to decide a date for hearing of the Petition and issue advertisements in newspapers in English and Tamil specifying therein the date fixed by this Hon'ble Tribunal for the hearing of the Petition duly inviting objections if any from any person interested in the matter or dealing with the Applicant Companies.*

v. *To direct not less than 30 days advance notice to Registrar of Companies, Income Tax and GST Authorities in terms of sub-section (5) of 230 of the Companies Act, 2013.*

vi. *To grant such other relief(s) that this Hon'ble Bench may deem fit and in the circumstances of this case.*

For the Resulting Company – Spark Institutional Equities Private Limited

vii. *To pass an order dispensing with the general meeting of the shareholders of the Resulting Company, considering the fact that since the Resulting Company is a Wholly Owned Subsidiary (WOS) of the Demerged Company and*

the shareholders of the Resulting Company have given their consent affidavits for approval of the Composite Scheme and for the dispensing with a general meeting;

viii. *To pass an order dispensing with a meeting of the unsecured and secured creditors of the Resulting Company, considering the fact that the Resulting Company has been incorporated only on 28th January 2022 and that it has no unsecured or secured creditors as on 14th February 2022 the date on which the Board of Directors of the Resulting Company has approved the Composite Scheme;*

ix. *To grant such other relief(s) that this Hon'ble Bench may deem fit and in the circumstances of this case;*

3. Affidavits in support of the above application are sworn in for and behalf of the Demerged Company by Mr.Y.Rama Rao, Managing Director of the Demerged Company and for the Resulting Company by Mr.Ganshram Jayaraman, Director of Resulting Company and and it is also represented that the Registered offices of the Applicant Companies are situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Chennai.

4. In the course of hearing of this application, a memo dated 30.03.2022, filed by the Applicants, wherein it was submitted that the Demerged Company has received the consent affidavits from all the Shareholders of the Demerged Company constituting 100%

of its total paid-up share capital and the said consent affidavits are placed along with the memo and sought dispensation of holding meeting for shareholders of the Demerged Company.

5. Further, in the written synopsis filed by the Applicants on 20.04.2022, the consent affidavit of the secured creditor of the Demerged Company was filed along with the certificate of Chartered Accountant and citations of Hon'ble Appellate Tribunal and prayed for dispensation of holding of meeting of Secured and Unsecured Creditors of the Demerged Company.

6. **SPARK CAPITAL ADVISORS (INDIA) PRIVATE LIMITED, (DEMERGED COMPANY)**

(i) There are 49 (Forty Nine) Equity Shareholders and the certificate issued by the Practising Company Secretary to this effect is placed at page 174 to 185 of the typed set filed with the application and consent affidavits given by all of them is placed at the typed set filed along with the memo dated 30.03.2022, by the Applicants and sought for dispensation with holding of meeting.

(ii) There is 1 (One) Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at page 1 of the memo dated 11.04.2022 filed by the Applicants and the consent given by sole Secured Creditor is placed at page 189 to 218 of the typed set dated 20.04.2022 filed by the Applicants and sought dispensation with holding of meeting.

(iii) There are 49 (Forty Nine) Unsecured Creditors. The total value of 49 unsecured creditors of the Demerged Company amounts to Rs.1,09,49,683/- and the certificate issued by the Chartered Accountants to this effect is placed at pages 281 to 283 of the typed set filed along with the Application. Since the Scheme does not propose any compromise with both the class of creditors, the Applicant Companies submitted that Scheme would not cause any jeopardy to their interests and the undertakings are solvent to meet their liabilities and obligations as a going concern, post demerger also and sought to dispense with the holding of meeting.

7. **SPARK INSTITUTIONAL EQUITIES PRIVATE LIMITED., (RESULTING COMPANY)**

(i) There are 2 (Two) Equity Shareholders and the certificate issued by the Practising Company Secretary to this effect is placed at page 215 to 216 and consent affidavits given by both of them are placed as page nos.285 to 290 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is Nil Secured Creditors and Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page no.284 of the typed set filed with the application. Hence Convening/dispensing with meeting does not arise.

8. We have perused the application and the connected documents / papers filed therewith including the Scheme of Demerger contemplated by the Applicant companies.

9. From the certificate of incorporation filed, it is evident that the **Demerged Company** is an unlisted Private company incorporated under the provisions of Companies Act, 1956 on 2nd day of February 1998 (02/02/1998) with the Corporate Identification Number: U67190TN1998PTC039818. The Authorized Share Capital of the Demerged Company as at 31st March 2021 is Rs.6,10,00,000/- (Rupees Six Crores Ten lakhs Only) consisting of 30,00,000 equity shares of INR 10/- each and 20,00,000 redeemable preference shares of INR 10/- each and 11,00,000 convertible preference shares of INR 10/- each. The Issued, Subscribed and Paid-up Share Capital as of 31st March 2021 is Rs.2,85,06,550/- (Rupees Two Crore Eighty-Five Lakhs Six Thousand Five Hundred and Fifty Only) consisting of 26,50,655 equity shares of INR 10/- each and 2,00,000 Non-Convertible Redeemable Non-Cumulative Preference Shares of INR 10/- each.

10. The Authorized Share Capital of the Demerged Company as 14th February 2022, being the date of approval of Composite Scheme by the Board of Directors is Rs.6,10,00,000/- (Rupees Six Crores Ten Lakhs Only) consisting of 50,00,000 equity shares of INR 10/- each and 11,00,000 convertible preference shares of INR 10/- each. The Issued, and Subscribed Capital as of 14th February 2022 is Rs.3,00,38,050/- (Rupees Three Crores Thirty-Eight Thousand and Fifty Only) and Paid-up Capital is Rs.2,93,31,750/-

(Rupees Two Crores Ninety Three Lakhs Thirty One Thousand Seven Hundred and Fifty Only) consisting of 26,50,655 equity shares of INR 10/- each and 3,53,150 partly paid-up shares of INR 10/- each, INR 8 paid up.

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11. The Resulting Company is an unlisted Private company incorporated under the provisions of Companies Act, 1956 on 28th January 2022 with CIN:U65999TN2022PTC149473. The Authorized Share Capital of the Resulting Company is Rs.15,00,000/- (Rupees Fifteen Lakhs Only) consisting of 1,50,000 (One Lakh Fifty Thousand Only) Equity Shares of INR 10/- each. The Issued, Subscribed and Paid-up Share Capital as of 14th February 2022 is Rs.10,000/- (Rupees Ten Thousand Only) consisting of 1,000 (One Thousand only) Equity Shares of INR 10/- each.

12. The Demerged Company has placed on record its Memorandum and Articles of Association delineating its object clauses *inter alia* as well as their last available Annual Reports comprising of the Financial Statements for the year ended 31.03.2021. The Resulting Company (incorporated only on 28th January 2022) has also placed on record its Memorandum and Articles of Association delineating its object clauses.

13. The Board of Directors of the Applicant Companies vide meeting held on 14th February 2022 have unanimously approved

the proposed Scheme as contemplated above and copies of the resolutions passed thereon have been placed on record by the Applicant Companies.

14. The Appointed date as specified in the Scheme shall be **1st April 2022.**

15. The Independent Chartered Accountant has examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the accounting treatment is in compliance with the Accounting Standards pertaining to Amalgamation read with Section 133 of the Companies Act, 2013. The Certificate issued by the Independent Chartered Accountant in this regard is placed at pages 274 to 275 (for Demerged Company) and at pages 276 to 278 (for resulting company) of the typed set filed along with the Application.

16. In support of their prayer to dispense with the meeting of unsecured creditors, without filing the consent affidavits of respective creditors, the following decisions of the NCLT and NCLAT have been relied by the Applicant Companies.

i) In the matter of ***Ambuja Cements Limited***

ii) In the matter of ***Vodafone Idea ltd***

iii) In the matter of ***Mohit Agro Commodities and Gujarat Ambuja Exports Ltd***

17. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions: -

IN RELATION TO THE DEMERGED COMPANY:

(i) With respect to the Equity shareholders:

Since it is represented by the Demerged Company that there are **49** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) With respect to the Secured Creditors:

Since it is represented by the Demerged Company that there is only **One** Secured Creditor in the Company whose consent by way of Affidavit has been obtained and is placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(iii) With respect to the Unsecured Creditors:

Considering the fact and circumstances and the precedents relied on by the Applicant Companies, this Tribunal is of the considered opinion that it is necessary to convene the meeting of the unsecured creditor of the Demerged Company.

Hence, the meeting of the Unsecured Creditors of the Demerged Company is directed to be held at **11:00 AM** on

20th July 2022 at registered office of the Demerged Company or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

IN RELATION TO THE RESULTING COMPANY:

(i) With respect to the Equity shareholders:

Since it is represented by the Resulting Company that there are Two **(2)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening and holding a meeting of Equity shareholders to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(ii) With respect to the Secured Creditors:

Since it is represented by the Resulting Company that there is **NIL** Secured Creditor in the Company the necessity of convening and holding the meeting of Secured Creditors is ***dispensed with***.

(iii) With respect to the Unsecured Creditors:

Since it is represented by the Resulting Company that there is **NIL** Un Secured Creditor in the Company the necessity of convening and holding the meeting of Unsecured Creditors is ***dispensed with***.

18. The quorum for the meeting of the Unsecured Creditors of the Demerged Company shall be 5.

i) The Chairperson appointed for the above said meetings shall be **Mrs.J.Bharathi**, Practising Company Secretary (Mobile No.9884222346) (email- bharathiji@gmail.com) and the alternate chairperson appointed for the above said meeting shall be the Managing Director of the Company who has sworn in affidavit on behalf of the respective Applicant Companies. The fee of the Chairperson for the aforesaid meeting shall be Rs.75,000/- (Rupees Seventy-Five Thousand Only) in addition to meeting his incidental expenses.

ii) **Mr.G.S.Sudhir,** Chartered Accountant (Mobile No.9445503208) (email – casudhir95@gmail.com) is appointed as a Scrutinizer and would be entitled to fee of Rs.35,000/- (Rupees Thirty-Five Thousand Only) for services in addition to meeting incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every

endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted either by way of physical means or through video conferencing as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily *"Business Standard"*(All India Edition), and *"Makkal Kural" Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies

Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

19. The Registry is directed to forward a copy of this order to the Chairperson and Scrutinizer appointed.

20. The Application stands **allowed** on the aforesaid terms.

-Sd-

B.ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd.) S.RAMATHILAGAM
MEMBER (JUDICIAL)

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